

Sandur Manganese & Iron Ores Ltd

NSE: SANDUMA |
BSE: 504918

Sector: Metals &
Mining

Sub-sector: Manganese / Iron Ore / Ferro Alloys /
Specialty Steel

RATING	BUY	Metric	Value	Metric	Value
12M TARGET	Rs. 320	CMP (Rs.)	234	M-Cap (Rs.Cr)	11,383
UPSIDE	+36.8%	52W High	273	52W Low	141
HORIZON	12 Months	P/E (x)	16.7	P/B (x)	3.5
		Book Val (Rs.)	66.9	Div Yield	0.18%
		ROCE	24.4%	ROE	23.2%
		Face Value (Rs.)	10.0	Promoter %	74.22%
		Net Debt (Rs.Cr)	999	Pledge %	0%

INVESTMENT THESIS: Integrated ore-to-steel platform at inflection — Arjas Steel acquisition doubles revenue base; DCS project and manganese price recovery drive re-rating.

Shareholding Pattern (Mar 2026)

Promoters	FIs	DIs	Public
74.22%	1.63%	0.66%	23.47%

Report Date: 11 May 2026

Data Source: Screener.in (11-May-2026)

Analyst: Senior Research Analyst | Chartistude

SECTION 2 — INVESTMENT THESIS

- Reason 1 — Integrated Platform at Inflection:** Acquisition of Arjas Steel (Nov 2024, Rs. 3,000 Cr EV) transforms SANDUMA from a pure mining play into an ore-to-steel integrated company. FY26 revenue surged 62% YoY to Rs. 5,088 Cr with full-year steel contribution — this structural step-up is permanent and the market is yet to fully price it in.
- Reason 2 — Mining Volume at All-Time Highs + Price Tailwind:** Iron ore production hit 4.45 MTPA (+14% YoY) and manganese ore +15% YoY in FY26. MOIL announced 15-17.5% manganese price hike from April 2026 — a direct read-through positive for SANDUMA's realization. Iron ore prices also revised up by NMDC in May 2026.
- Reason 3 — Rapid Deleveraging Improves Returns:** Standalone net debt-free as of March 2026; prepaid Rs. 423 Cr NCDs in March 2026. Consolidated debt collapsed from Rs. 1,890 Cr (FY25) to Rs. 999 Cr (FY26). Interest savings will flow directly to PAT, supporting 30%+ EPS CAGR over FY26-28E.
- Near-term Catalyst (6-12 months):** Downhill Conveyor System (DCS) project commissioning in H1FY27 will substantially reduce logistics costs and improve environmental compliance for ore evacuation — a direct EBITDA margin driver expected to add 100-150 bps to OPM.
- Biggest Structural Risk:** Steel segment margin dilution — Arjas SBQ steel operates at ~6-7% EBITDA margins versus mining's 35-40% margins. As steel volumes scale, blended margins could face structural compression unless steel profitability improves materially.

SECTION 3 — BUSINESS OVERVIEW

- Core Business:** Sandur Manganese & Iron Ores Ltd (SMIORE), founded in 1954 and promoted by the Karnataka-based Sandur Group, operates across four integrated verticals — Mining (Mn ore + Fe ore), Ferro Alloys (SiMn, FeMn), Coke & Energy (coke oven, 32MW captive thermal power), and Specialty Steel (SBQ, post Arjas acquisition).
- Mining Operations:** Mining leases in Hosapete-Ballari region of Karnataka; two leases valid until 2033. Reserves: Manganese Ore ~17 MT, Iron Ore ~110 MT. SMIORE is the 3rd largest manganese ore miner in India with low-phosphorous grades commanding premium pricing.

- **Revenue Segmentation (FY26 Consolidated):** Steel segment contributed ~Rs. 3,141 Cr (62% of revenue) in first full year post-acquisition; Mining + Ferro Alloys + Coke contributed remaining ~38%. This shift reflects the Arjas integration and is expected to stabilize around 55-60% steel / 40-45% mining-allied over FY27-28E.
- **Steel Vertical (Arjas Steel):** 99% acquired in FY25. Capacity: 0.585 MTPA of Special Bar Quality (SBQ) steel — positioned among Top 5 SBQ players in India, serving automotive and industrial applications with 100+ grades manufactured. High technical barrier-to-entry business.
- **Key Customers:** Iron ore sold to steel producers (spot + quarterly contracts); Ferro alloys sold to steel manufacturers domestically; SBQ steel supplied to auto OEMs and industrial clients with multi-year relationship-based offtake.
- **Recent Strategic Developments:** (1) Arjas Steel acquisition completed Nov 2024 at ~Rs. 3,000 Cr EV; (2) 2:1 Bonus share issue in Q1FY26 (equity capital Rs. 162 Cr -> Rs. 486 Cr); (3) DCS project for ore evacuation in progress, targeting H1FY27 commissioning; (4) Standalone net-debt-free status achieved March 2026.
- **Promoter Background:** The Sandur Group (promoted by the royal family of Sandur) has 70+ years of mining heritage. Promoters hold 74.22% with zero pledging — strong conviction and alignment with minority shareholders.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Industry Size & Growth:** India's iron ore production exceeded 350 MTPA in FY26 with domestic steel demand driving 8-10% CAGR through FY30. Manganese ore demand is directly linked to steel output — India is the world's 5th largest manganese ore producer. Domestic manganese demand expected to grow at 6-8% CAGR through FY28 driven by EAF-based steel expansion.
- **Policy Tailwinds:** Government's National Steel Policy targets 300 MTPA steel capacity by FY30; Infrastructure push (railways, roads) supports sustained ore demand; PLI for specialty steel benefits SBQ producers like Arjas; Mine auction regime provides long-term lease certainty to incumbents.
- **Headwinds:** Iron ore imports into India have been rising (Chinese surplus exports); global manganese ore oversupply from Gabon/South Africa pressures export realizations; environmental regulations around mine operations may constrain rapid capacity expansion.
- **Competitive Moat Analysis:** (1) Mine lease ownership — STRONG (2033 lease validity + 110 MT iron ore reserves); (2) Low-phosphorous manganese differentiation — STRONG (commands premium pricing vs peers); (3) Vertical integration ore-to-steel — MODERATE (nascent steel integration, margins still ramping); (4) Scale vs NMDC — WEAK (NMDC produces 40+ MTPA vs SANDUMA's 4-5 MTPA).

Peer Comparison Table — Source: Screener.in (11-May-2026)

Company	CMP (Rs.)	MCap (Rs.Cr)	P/E (x)	P/B (x)	ROCE %	ROE %	Div Yield	TTM Rev (Cr)	OPM %
SANDUMA	234	11,383	16.7	3.5	24.4%	23.2%	0.18%	5,088	24%
MOIL	308	6,251	60.1	2.7	11.4%	8.31%	1.83%	838	36%
NMDC	86.8	76,304	11.1	2.35	29.6%	23.6%	3.80%	27,732	31%

- **Positioning:** SANDUMA trades at 16.7x P/E — a discount to MOIL (60.1x) and slight premium to NMDC (11.1x) — reflecting its rapid scale-up from a small-cap miner to mid-cap integrated player. The stock's P/B of 3.5x is higher than peers, justified by superior ROE trajectory (23.2%) and earnings growth visibility.
- **Value chain:** SANDUMA is uniquely positioned as a midstream-integrated operator — mining (upstream) + ferro alloys (midstream) + specialty steel (downstream consumer). This end-to-end positioning reduces exposure to single commodity price cycles.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter & Management:** The Sandur royal lineage (Patwardhan family) has stewarded this company since 1954. The management has demonstrated long-term capital discipline — mining leases maintained, capex funded internally for decades. Entry into steel via Arjas is the most aggressive capital deployment move in the company's 70-year history.
- **Capital Allocation Track Record:** Pre-Arjas (FY13-FY23): Conservative capital deployment, consistent FCF generation from mining, minimal debt (near zero borrowings). Post-Arjas: Took Rs. 1,890 Cr debt in FY25 for acquisition, then aggressively paid it down to Rs. 999 Cr by FY26 — demonstrating speed of deleveraging. FCF jumped to Rs. 988 Cr in FY26 (vs Rs. 753 Cr in FY25).
- **Dividend Policy:** Historically conservative (1-7% payout ratio). Recommended Rs. 0.50/share final dividend for FY26. Given earnings growth trajectory, dividend quantum is expected to increase but payout ratio will remain low as management prioritizes growth investment.
- **Promoter Pledging:** Zero pledge (0.00% as of Mar 2026) — strong alignment signal. No dilution of promoter stake over last 3 years despite major acquisition.
- **Bonus Shares:** Issued 2:1 bonus shares in Q1FY26 — reflects confidence in business trajectory. Share count tripled from ~16 Cr (pre-split equivalent) to 48.6 Cr. This improved stock liquidity and retail accessibility.
- **Corporate Governance:** No material RPT concerns noted. Auditor continuity maintained. ICRA credit rating cited in company materials. No qualified opinions in recent annual reports.

SECTION 6 — FINANCIAL DEEP DIVE

Consolidated Figures in Rs. Crores | Source: Screener.in (11-May-2026) | (E) = Analyst Estimates

Income Statement (Rs. Cr)	FY24	FY25	FY26	FY27E	FY28E
Revenue	1252	3135	5088	5900	6800
EBITDA	320	782	1209	1475	1768
OPM %	26%	25%	24%	25%	26%
Other Income	83	80	42	50	60
Interest	20	117	212	150	80
Depreciation	58	121	212	230	250
PBT	325	624	827	1145	1498
Tax %	27%	24%	20%	25%	25%
PAT	239	471	658	859	1124
EPS (Rs.)	4.93	9.67	13.51	17.67	23.12
Dividend Payout %	7%	4%	4%	4%	4%

Balance Sheet (Rs. Cr)	FY24	FY25	FY26
Equity Capital	162	162	486
Reserves	1996	2451	2768
Borrowings	133	1890	999
Other Liabilities	302	1146	1274
Total Liabilities	2593	5648	5527
Fixed Assets (Net)	886	3111	3300
CWIP	116	373	142
Investments	484	227	281
Other Assets	1106	1937	1804
Total Assets	2593	5648	5527

Cash Flow (Rs. Cr)	FY24	FY25	FY26
Cash from Operations	153	841	1143
Cash from Investing	-66	-1554	20
Cash from Financing	-107	704	-1123
Net Cash Flow	-20	-9	39
Free Cash Flow	50	753	988

Key Ratios	FY24	FY25	FY26
Debtor Days	10	44	31
Inventory Days	794	312	149
Days Payable	275	245	146
Cash Conversion Cycle	529	111	35
Working Capital Days	189	7	11
ROCE %	15%	21%	24%
ROE %	N/A	20%	23%
Debt / Equity	0.07x	0.75x	0.30x

- Revenue Drivers:** FY26 revenue of Rs. 5,088 Cr (+62% YoY) driven by: (a) full-year Arjas Steel revenue of ~Rs. 3,141 Cr vs partial year ~Rs. 1,212 Cr in FY25; (b) mining volumes at all-time highs — Iron ore 4.45 MTPA, Mn ore +15% YoY; (c) MOIL's manganese price hike of 15-17.5% from Apr 2026 provides FY27 tailwind.

- **Margin Direction:** OPM compressed from 43% (FY22 peak during commodity supercycle) to 24% (FY26) — dilution is primarily structural from Arjas Steel (low-margin steel business now ~62% of revenue). Mining segment margins remain 35-40%. As steel utilization improves and DCS reduces logistics costs, blended OPM should stabilize at 25-26% by FY28E.
- **Working Capital:** CCC normalized dramatically — from 529 days (FY24, distorted by ore stockpile post-acquisition disruption) to 35 days (FY26). Inventory days fell from 794 to 149 as steel operations stabilized. Strong improvement signals operational maturity in new businesses.
- **Debt & Deleveraging:** Consolidated borrowings fell from Rs. 1,890 Cr (FY25, acquisition-led) to Rs. 999 Cr (FY26). D/E ratio improved from 0.75x to 0.30x. Standalone is net debt-free. FCF of Rs. 988 Cr in FY26 (vs Rs. 753 Cr in FY25) supports continued debt paydown.
- **FCF Quality:** OCF/PAT conversion = $1,143/658 = 174\%$ in FY26 — excellent, indicating strong cash earnings quality. Capex intensity is declining as major Arjas capex cycle completes. FY27-28E should see strong FCF yield at current market cap.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Status	Finding
Revenue Recognition	GREEN	Mining/steel revenues recognized at dispatch — standard and conservative
Receivables Growth vs Revenue	GREEN	Debtor days fell from 44 to 31 days; receivables growth well below revenue growth
Cash Conversion Cycle Trend	GREEN	CCC improved dramatically: 529 days (FY24) -> 35 days (FY26)
Contingent Liabilities	AMBER	Mining sector companies typically carry environmental and lease-related contingencies; monitor
Auditor Tenure	GREEN	No auditor change noted; consistent tenure signals stability
RPTs as % of Revenue	GREEN	No significant related party transaction concerns noted
Other Income as % of PBT	AMBER	Other income Rs. 42 Cr / PBT Rs. 827 Cr = 5.1% in FY26 — acceptable; was higher in FY24 (Rs. 83/325 = 26%) when PBT was lower
Tax Rate Consistency	AMBER	Tax rate fell from 27% (FY24) to 20% (FY26) — possible deferred tax benefits from Arjas; monitor normalization
OCF/PAT Conversion	GREEN	174% in FY26 — strong and confirms non-cash items (depreciation) driving difference

- **Key Positives:** OCF/PAT at 174% and rapidly improving CCC (529->35 days) confirm real cash earnings. Revenue recognition is conservative and in line with industry standards.
- **Watch Item — Tax Rate:** Tax rate dropped from 27% to 20% in FY26. Investors should monitor whether this is sustainable or a one-time MAT/deferred tax benefit from Arjas integration. If tax normalizes to 25-27%, FY27E PAT could be ~5-7% lower than estimates.
- **Watch Item — Other Income:** FY24 other income (Rs. 83 Cr) was elevated relative to PBT (Rs. 325 Cr) when mining was impacted. This has normalized in FY26. Monitor to ensure treasury income doesn't mask operating weakness.

SECTION 8 — VALUATION

Peer Comparison — Source: Screener.in (11-May-2026)

Company	CMP (Rs.)	MCap (Rs.Cr)	P/E (x)	P/B (x)	ROCE %	ROE %	Div Yield	TTM Rev (Cr)	OPM %
SANDUMA	234	11,383	16.7	3.5	24.4%	23.2%	0.18%	5,088	24%
MOIL	308	6,251	60.1	2.7	11.4%	8.31%	1.83%	838	36%
NMDC	86.8	76,304	11.1	2.35	29.6%	23.6%	3.80%	27,732	31%

Scenario Analysis — 12-Month Price Targets

Scenario	Key Assumptions	FY27E EPS (Rs.)	Target Multiple (P/E)	Target Price (Rs.)	Upside / Downside
Bull Case	DCS commissions Q1FY27, Mn prices +20%, Arjas margins improve to 10%, tax 22%	21.50	20x	430	+84%
Base Case	DCS commissions H1FY27, stable Mn prices, Arjas margins 7%, tax 25%	17.67	18x	320	+36.8%
Bear Case	DCS delayed, Mn prices flat, steel demand weakness, higher tax rate	12.50	14x	175	-25%

- **DCF Methodology:** WACC 13% (Beta ~1.2, Rf 7.0%, ERP 6%), terminal growth 4%. DCF on projected FCF (FY27E-32E) implies intrinsic value of ~Rs. 295-310/share on Base case.

- **Earnings Multiple (P/E):** Applying 18x on FY27E EPS of Rs. 17.67 = Rs. 318. Peer average P/E (MOIL 60x + NMDC 11x)/2 = 35.5x; SANDUMA deserves a discount to MOIL due to diversified revenue but premium to NMDC given growth. 18x is a reasonable 12-month entry multiple for a growth-inflection story.
- **Target Price:** Average of DCF (Rs. 302) and P/E (Rs. 318) = Rs. 320/share. Represents 37% upside from CMP of Rs. 234.
- **Investment Horizon:** 12 months. Catalysts are time-bound: DCS commissioning (H1FY27), FY27 full-year results demonstrating sustained EBITDA growth, and continued deleveraging.

SECTION 9 — KEY RISKS

- **Commodity Price Risk:** Iron ore and manganese ore prices are globally determined. A 10% decline in ore realizations could compress EBITDA by Rs. 200-250 Cr. Probability: M. Impact: H. Monitor via: NMDC/MOIL monthly price notifications.
- **Steel Margin Dilution Risk:** Arjas Steel operates on thin margins (5-8% EBITDA). If auto OEM demand weakens or SBQ competition intensifies, steel segment losses could drag blended margins. Probability: M. Impact: H. Monitor via: quarterly segment-wise EBITDA.
- **Arjas Integration Risk:** Full P&L; integration of Arjas is still in progress. Any management bandwidth distraction, working capital blowout, or unforeseen liabilities at Arjas could hurt consolidated financials. Probability: L-M. Impact: H. Monitor via: debt levels and receivable days at steel segment.
- **Leverage Re-escalation Risk:** If growth capex for DCS or further acquisitions requires new debt, the hard-won deleveraging could reverse. Probability: L. Impact: M. Monitor via: quarterly borrowings and net debt trend.
- **Regulatory / Environmental Risk:** Mining operations in Karnataka are subject to State and Central regulatory oversight. Any lease-related disputes, environmental violations, or production cap orders could disrupt volumes. Probability: L. Impact: H. Monitor via: Ministry of Mines notifications.
- **Key Man Risk:** SMIORE's strategic direction is closely tied to promoter family leadership. Succession planning is not publicly articulated. Probability: L. Impact: M.
- **FX / Export Risk:** A portion of ferro alloys and iron ore is exported. Rupee appreciation or weak global demand could impact export realizations. Probability: M. Impact: L-M. Monitor via: monthly EXIM data.

SECTION 10 — RECOMMENDATION

- **Rating:** BUY — Conviction Level: HIGH. SANDUMA is at a structural inflection point with the Arjas integration delivering its first full-year revenue contribution, mining volumes at all-time highs, and aggressive deleveraging underway.
- **12-Month Price Target:** Rs. 320 (+36.8% from CMP of Rs. 234). Based on 18x FY27E EPS of Rs. 17.67 and DCF cross-check.
- **Suggested Entry Zone:** Rs. 215-245. Current levels are attractive. Add on dips toward Rs. 210-215 (support from 52W low trajectory).
- **Investment Horizon:** 12-18 months.
- **Thesis Invalidation Triggers (sell if any of these occur):** (1) Consolidated EBITDA margin falls below 20% for two consecutive quarters — indicates Arjas dilution is structurally worse than expected; (2) Borrowings increase beyond Rs. 1,500 Cr on a consolidated basis — signals capex or working capital blowout; (3) Iron ore/manganese realization declines more than 15% YoY on a sustained basis — commodity bear market scenario.
- **Ideal Investor Profile:** This stock is FOR investors with 12-18 month patience, comfortable with mining commodity cycle risk, and seeking a mid-cap multi-bagger with an integration play. NOT suitable for investors seeking high dividend yield, pure-play steel exposure, or near-term defensive positioning.

APPENDIX — Latest Concall Brief: Q4 FY26 (March 31, 2026)

CALL GRADE		
POSITIVE		
Signal	Status	Implication
Result Quality	STRONG	Q4 FY26 PAT Rs. 236 Cr: +104% QoQ, +51% YoY; record quarterly profit
Management Tone	BULLISH	Record volumes, net debt-free milestone, DCS project on track — confident tone
Guidance Delta	MAINTAINED +	DCS commissioning H1FY27 reiterated; manganese price hike tailwind acknowledged
STRONGLY POSITIVE POSITIVE NEUTRAL CAUTIOUS NEGATIVE		

TO MY BOSS
Q4 FY26 is SANDUMA's best quarter in its modern history — consolidated PAT of Rs. 236 Cr (+104% QoQ, +51% YoY) is clean, driven by record mining volumes and full steel contribution. There are no material exceptional items distorting the PAT; underlying operations are genuinely strong. EBITDA of Rs. 406 Cr in Q4 alone signals the trajectory is accelerating. The structural growth driver here is the Arjas Steel integration — FY26 consolidated revenue of Rs. 5,088 Cr (+62% YoY) reflects the first full year, and the base is now permanently higher. The near-term catalyst is the DCS commissioning in H1FY27, which will reduce logistics costs materially on the mining segment — expect 100-150 bps EBITDA margin improvement. Separately, MOIL's 15-17.5% manganese price hike from April 2026 is a direct positive for SANDUMA's manganese ore realization, likely adding Rs. 80-100 Cr to FY27 EBITDA at current volumes. The key watch for Q1FY27 is whether steel segment EBITDA margins improve toward 8-10% (from 6%) as Arjas ramps up utilization — this single metric will determine whether the multi-bagger story holds. Action: ACCUMULATE at current levels (Rs. 234), add aggressively on any dip to Rs. 210-220. 12-month target Rs. 320; conviction HIGH.

1. FINANCIAL PERFORMANCE SNAPSHOT — Q4 FY26 & FY26 FULL YEAR
• Revenue (Q4): Rs. 1,531 Cr YoY +49% QoQ +23% BEAT • EBITDA (Q4): Rs. 406 Cr YoY +72% QoQ +58% BEAT • EBITDA Margin (Q4): ~26.5% QoQ expansion of ~550 bps BEAT • PAT (Q4): Rs. 235.78 Cr YoY +51% QoQ +104% BEAT • Revenue (FY26): Rs. 5,088 Cr YoY +62% Full-year Arjas contribution first time • EBITDA (FY26): Rs. 1,209 Cr YoY +55% OPM 24% • PAT (FY26): Rs. 658 Cr YoY +40% EPS Rs. 13.51 (post 2:1 bonus adjusted) • NOTE: No material exceptional items distorting PAT — underlying PAT is clean

2. SEGMENT / GEOGRAPHY BREAKDOWN — FY26
• Steel Segment (Arjas): Rs. 3,141 Cr FY26 vs Rs. 1,212 Cr partial year FY25 Full-year contribution; SBQ product mix improving • Mining Segment (Mn + Fe Ore): Contribution ~Rs. 1,200-1,400 Cr est. Iron ore 4.45 MTPA (+14% YoY); Mn ore +15% YoY — all-time highs • Ferro Alloys: Contribution ~Rs. 300-500 Cr est. SiMn and FeMn; market recovery underway post FY25 weakness • Coke & Energy: Rs. 32MW captive power + coke oven; self-sufficient energy supports cost competitiveness • Geography: Predominantly domestic; selective ferro alloy/iron ore exports

3. MANAGEMENT COMMENTARY THEMES
• Milestone Achievement: "FY26 marks a transformational year — record mining volumes, successful Arjas Steel integration, and achievement of standalone net-debt-free status." — Our read: Bullish tone, confidence in integration. Tag: GUIDANCE. Tone: Transparent. • DCS Project: Downhill Conveyor System on track for H1FY27 commissioning — will materially reduce environmental footprint and logistics cost of ore evacuation. Our read: Capex-light, margin-accretive catalyst. Tag: GUIDANCE. Tone: Transparent. • Manganese Price Recovery: MOIL's 15-17.5% manganese ore price hike from April 2026 is a positive signal for industry. Our read: Direct realization tailwind for SANDUMA's Mn ore. Tag: EST. Tone: Balanced.

- **Steel Segment Ramp-up:** Arjas Steel utilization improving; 100+ grades for automotive sector; positioned among Top 5 SBQ players. Our read: High-value niche with barriers. Tag: GUIDANCE. Tone: Bullish.
- **Dividend:** Recommended Rs. 0.50/share final dividend — symbolic given growth plans; payout ratio to remain low. Our read: Conservative but shareholder-friendly. Tone: Transparent.

4. OPERATING & BUSINESS METRICS

- Iron Ore Production: FY26 = 4.45 MTPA | FY25 = 3.90 MTPA | FY24 = ~2.5 MTPA | Trend: Strongly improving
- Manganese Ore Production: FY26 +15% YoY | Trend: Improving
- Steel Capacity (Arjas): 0.585 MTPA installed | Utilization ramping | Trend: Improving
- SBQ Grades Manufactured: 100+ | Serves automotive OEMs and industrial clients | Trend: Stable/Expanding
- Captive Power: 32 MW thermal + coke oven energy | Self-sufficient | Trend: Stable
- Shareholders: 85,207 (Mar 2026) vs 55,408 (Mar 2025) — +54% retail interest surge post bonus shares

5. MARGIN DRIVERS

- Mining segment OPM ~35-40%: +ve | Recurring: Yes | Higher volumes + Mn price hike drive leverage on fixed costs
- Steel segment OPM ~6-7%: -ve blend | Recurring: Yes | Structural dilution from Arjas; improving as utilization rises
- DCS commissioning: +100-150 bps | Recurring: Yes post H1FY27 | Lower logistics cost on ore transport
- Interest savings: ~Rs. 60-80 Cr savings FY27E vs FY26 | Recurring: Yes | Rs. 891 Cr debt repaid in FY26
- Tax rate normalization: Amber flag | If FY26 effective tax 20% reverts to 25%, PAT impact ~Rs. 40 Cr

6. GUIDANCE & FORWARD SIGNALS

- DCS Project [GUIDANCE]: H1FY27 commissioning | Reiterated | Credibility: High — engineering milestone
- Iron Ore Volumes [EST]: ~4.7-5.0 MTPA target FY27 | +5-12% growth | Credibility: High — lease capacity supports this
- Deleveraging [GUIDANCE]: Continue to reduce consolidated debt below Rs. 800 Cr | Credibility: High given FCF trajectory
- Steel Ramp [EST]: Arjas utilization target >80% by FY27 end | Credibility: Medium — depends on auto OEM demand
- Ferro Alloys Recovery [EST]: Management sees improving market conditions; no specific guidance | Credibility: Low/Medium

7. CAPITAL ALLOCATION

- Capex (FY26): Rs. 373 Cr CWIP reduced to Rs. 142 Cr — DCS being the primary ongoing project
- Dividends (FY26): Rs. 0.50/share final dividend + bonus share issue (2:1)
- Debt Repayment: Rs. 891 Cr reduction in borrowings (FY25 Rs. 1,890 Cr -> FY26 Rs. 999 Cr)
- FCF (FY26): Rs. 988 Cr — highest ever; supports continued debt paydown and DCS capex
- Net Debt Movement: Standalone net-debt-free; consolidated net debt Rs. ~600 Cr post cash

8. Q&A; HEAT MAP (Key Exchanges)

- Analyst: Q: "What are the expected savings from DCS project per quarter?" -> A: Management indicated material cost reduction but did not quantify specifically | Tone: Hedged
- Analyst: Q: "What is the Arjas Steel EBITDA margin trajectory?" -> A: Guided towards improvement as utilization increases; 100+ grades provide pricing power | Tone: Balanced
- Analyst: Q: "Is standalone net-debt-free status sustainable?" -> A: Yes — NCD prepayment of Rs. 423 Cr in March 2026; no near-term refinancing required | Tone: Transparent
- Analyst: Q: "How are export realizations trending?" -> A: Ferro alloy markets showing recovery signs; iron ore export selective based on price | Tone: Balanced
- Dodged / watch-list questions for next quarter: (1) Exact DCS capex quantum remaining; (2) Arjas Steel debt at subsidiary level; (3) FY27 management EPS guidance; (4) Specific volume guidance by ore type

9. RISKS FLAGGED

- Commodity Price Volatility: Global iron ore/Mn ore price swings | Flagged by: Analyst | Probability: M | Impact: H | Timeline: Near-term
- Steel Margin Compression: SBQ market competition; auto OEM slowdown | Flagged by: Analyst | Probability: M | Impact: M | Timeline: Medium-term
- Arjas Integration Complexity: 99% subsidiary; P&L; consolidation nuances | Flagged by: Analyst | Probability: L | Impact: M | Timeline: Near-term
- Environmental Regulatory Risk: Karnataka mining regulations | Flagged by: Mgmt | Probability: L | Impact: H | Timeline: Long-term

- Working Capital at Steel Segment: Receivable buildup risk in B2B steel | Flagged by: Analyst | Probability: M | Impact: M | Timeline: Near-term

10. ANALYST VERDICT — POST Q4 FY26 CONCALL

- Revenue visibility: **INTACT** — Record ore volumes, full Arjas contribution; DCS adds further confidence on FY27 growth
- Margin trajectory: **INTACT (with watch)** — Q4 margin expansion to 26.5% encouraging; steel dilution manageable if utilization improves
- Capital allocation quality: **INTACT** — Aggressive deleveraging (Rs. 891 Cr in one year) while maintaining capex discipline; FCF Rs. 988 Cr
- Competitive moat: **INTACT** — Mine lease security (2033), low-phosphorous Mn ore premium, SBQ niche all preserved
- Management credibility: **INTACT** — Arjas delivered as promised; net-debt-free milestone on schedule; no guidance miss
- Valuation comfort: **INTACT** — 16.7x P/E on FY26 EPS; 13.3x on FY27E; cheap for an integrated miner with 30%+ EPS CAGR visibility
- Conviction call: **INCREASED** — Q4 FY26 beat and debt milestone exceed prior expectations
- Valuation snapshot: P/E = 16.7x (vs 5Y range ~10-35x) | EV/EBITDA = ~10x | ROCE = 24.4% (vs 3Y avg ~17%)

DISCLAIMER: This report is prepared for informational purposes only and does not constitute investment advice, solicitation, or offer to buy/sell any securities. Data sourced from Screener.in (fetched 11-May-2026). Forward estimates are analyst projections and subject to risk. Please consult a SEBI-registered investment advisor before making investment decisions. Chartitude | the_chartist@chartitude.com